SYSTEMATIC APPROACH TO CANDLESTICK PATTERNS

It is a common occurrence for those starting with technical analysis and trading to get extremely excited after making a good profit and extremely dejected after making a loss, even if a small one. However, according to the workings of technical analysis, we are relying on history to repeat itself when certain formations and patterns are being created. At times, the patterns do repeat themselves and at other times, the patterns simply do not repeat and we end up with a loss.

It is impossible to be invested in technical analysis and trading, without incurring losses. If someone only had profits for each time they traded, the world's richest person would have been a technical analyst. We will have profitable as well as loss-making trades. One large profit or loss does not necessarily mean anything; it can be pure luck too at times. So, instead of focusing on individual trades, we will focus on a systematic approach to trading. We will focus on a lot of factors and determine the progress of our system, i.e. if we make a profit or a loss on a systematic basis (over a length of time instead of individual trades). The trading system is a set of strategies with defined entry and exit circumstances and risk management practices in place that finds it very difficult to make sustainable profits in the market. There is no way to backtest their assumptions.